

Intercompany Transfer Policy

Version Information

Field	Value
Policy ID	ITP-2026-014
Effective Date	January 1, 2026
Department	Global Finance Operations
Classification	Internal Confidential

1. Purpose

The purpose of this policy is to establish standardized controls, approval requirements, monitoring procedures, and governance standards for intercompany financial transfers conducted between legal entities within the organization.

This policy is designed to:

- reduce operational risk
 - improve financial transparency
 - enforce authorization controls
 - strengthen audit readiness
 - prevent unauthorized financial movement
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2. Scope

This policy applies to:

- all global legal entities
- regional finance departments
- treasury operations teams
- procurement finance operations
- internal financial controllers

The policy covers:

- domestic transfers
 - international transfers
 - foreign exchange settlements
 - intercompany funding adjustments
 - treasury liquidity movements
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3. Approval Requirements

3.1 Standard Transactions

Transactions below USD 100,000 require:

- initiator approval
 - finance operations verification
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3.2 Elevated Transactions

Transactions exceeding USD 500,000 require:

- secondary approval from a regional finance controller
- documented business justification
- operational risk review

Failure to obtain secondary authorization constitutes a policy violation.

3.3 High-Risk Transactions

Transactions exceeding USD 2,000,000 require:

- executive treasury authorization
 - regional compliance review
 - audit logging validation
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4. Segregation of Duties

Under no circumstances may:

- a transaction initiator approve their own transaction
- approval authority overlap with initiation authority
- system overrides bypass mandatory authorization controls

Self-approval activity is considered a severe operational risk violation.

5. Foreign Exchange Controls

All FX-related intercompany transactions must:

- include documented currency conversion rationale
- comply with regional treasury governance
- use approved institutional exchange rates

Unapproved FX usage may trigger compliance escalation.

6. Restricted Transaction Timing

Weekend and holiday financial processing is strongly discouraged unless:

- emergency operational continuity is required
- treasury leadership approval is documented
- incident tracking references are recorded

Repeated weekend transaction activity may trigger enhanced audit review.

7. Monitoring & Audit Requirements

The organization maintains automated monitoring systems for:

- transaction threshold violations
- abnormal transaction frequency
- dormant entity reactivation
- duplicate transaction activity
- suspicious approval behavior

Detected anomalies may result in:

- operational escalation
 - temporary transaction suspension
 - compliance investigation
 - formal audit review
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8. Record Retention

All transfer records must be retained for:

- minimum 7 years
 - audit accessibility
 - regulatory review support
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9. Violations

Failure to comply with this policy may result in:

- financial review escalation
- temporary account restrictions

- disciplinary investigation
- internal audit action